

Audited financial results for the year ended 30 June 2012

The directors are pleased to announce the audited financial results for the year ended 30 June 2012.

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2012

	2012 Shs Million	2011 Shs Million
Turnover	18,703	18,813
Net Revenue	15,542	15,795
Fair value gain/ (loss) on biological assets	6	(6)
Operating income	15,548	15,789
Cost of sales	(11,060)	(10,342)
Gross profit	4,488	5,447
Other operating income	133	106
Marketing and distribution costs	(733)	(1,165)
Administrative expenses	(1,567)	(1,148)
Other operating expenses	(826)	(443)
Finance income	411	145
Finance costs	(142)	(295)
Profit before taxation	1,764	2,647
Taxation credit/ (charge)	249	(714)
Profit for the year	2,013	1,933
OTHER COMPREHENSIVE INCOME		
Gain on revaluation of property, plant and equipment	-	3,078
Deferred taxation on revaluation of property, plant and equipment	-	(923)
	-	2,155
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	2,013	4,088
	Shs	Shs
Earnings per share - basic & diluted	1.32	1.26

STATEMENT OF FINANCIAL POSITION AT 30 JUNE 2012

	2012 Shs Million	2011 Shs Million
ASSETS		
Non current assets		
Property, plant and equipment	19,810	16,416
Intangible assets	207	157
Non current receivables	150	92
	20,167	16,665
Current assets		
Inventories	1,676	1,191
Biological assets	191	211
Trade and other receivables	4,584	3,864
Taxation recoverable	200	250
Collateral deposit	295	315
Short term deposits	52	14
Quoted investments – At fair value through profit or loss	35	25
Cash and bank balances	138	642
	7,171	6,512
Non current assets held for sale	62	-
	7,233	6,512
Total assets	27,400	23,177
EQUITY AND LIABILITIES		
Equity		
Share capital	3,060	3,060
Revaluation surplus	3,351	3,552
Retained earning	9,313	7,864
Shareholders' equity	15,724	14,476
Non current liabilities		
Deferred income taxation liability	3,027	3,327
Provision for service gratuity	3	4
Deferred grant income	-	12
Long term borrowings	2,926	2,396
	5,956	5,739
Current liabilities		
Borrowings	2,463	610
Trade and other payables	2,928	2,024
Provision for service gratuity	1	11
Provision for staff leave pay	29	34
Unclaimed dividends	299	283
	5,720	2,962
Total equity and liabilities	27,400	23,177

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 JUNE 2012

	Share capital Shs Million	Revaluation surplus Shs Million	Retained earnings Shs Million	Total Shs Million
At 1 July 2010	3,060	1,536	6,404	11,000
Total comprehensive income for the year	-	2,155	1,933	4,088
Final dividend declared - 2010	-	-	(612)	(612)
Transfer on disposal of equipment	-	(2)	2	-
Deferred taxation transferred on disposal of equipment	-	1	(1)	-
Transfer of excess depreciation	-	(196)	196	-
Deferred taxation on excess depreciation	-	58	(58)	-
At 30 June 2011	3,060	3,552	7,864	14,476
At 1 July 2011	3,060	3,552	7,864	14,476
Total comprehensive income for the year	-	-	2,013	2,013
Final dividend declared - 2011	-	-	(765)	(765)
Transfer on disposal of equipment	-	(71)	71	-
Deferred taxation transferred on disposal of equipment	-	22	(22)	-
Transfer of excess depreciation	-	(217)	217	-
Deferred taxation on excess depreciation	-	65	(65)	-
At 30 June 2012	3,060	3,351	9,313	15,724

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 JUNE 2012

	2012 Shs Million	2011 Shs Million
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	1,913	2,346
Interest paid	(198)	(182)
Interest received	411	145
Other finance charges paid	(10)	(5)
Taxation paid	(1)	(4)
Net cash generated by operating activities	2,115	2,300
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to property, plant and equipment	(4,392)	(2,608)
Additions to intangible assets	(43)	(6)
Proceeds on disposal of non-current assets held for sale	40	2
Proceeds on disposal of motor vehicles	1	-
Net cash used in investing activities	(4,394)	(2,612)
CASH FLOWS FROM FINANCING ACTIVITIES		
Dividend paid	(749)	(639)
Loans received	1,974	841
Loans repaid	(882)	(580)
Net cash generated from/ (used in) financing activities	343	(378)
DECREASE IN CASH AND CASH EQUIVALENTS	(1,936)	(690)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR	656	1,346
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	(1,280)	656

Audited financial results for the year ended 30 June 2012

BASIS OF PREPARATION

The audited financial statements of Mumias Sugar Company Limited for the year ended 30 June 2012, and from which these summary statements have been derived, were prepared in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. In the preparation of these summary financial statements, the directors have extracted the statement of financial position as at 30 June 2012, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended as they had been presented in the audited financial statements. However, the accounting policies and other explanatory notes that form part of the audited financial statements have not been included in these summary financial statements.

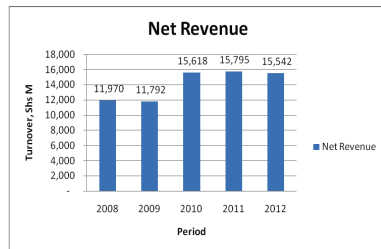
OVERVIEW

The results for the year ended 30 June 2012 were satisfactory in view of the difficult operating environment. During this period, the rate of inflation went up from 12% to 20% per annum, high fuel prices and a very volatile and depreciating local currency in which the dollar reached an all time high of Kshs 107 in November 2011.

The company recorded a 4% increase in earnings over last year. This was mainly as a result of higher sugar prices during the year and a tax credit realized after commissioning of the ethanol and water plants.

OPERATIONS

Cane availability has been a major challenge due to declining yields, alternative land use and cane poaching by competitors. This was exacerbated by heavy rains in the period July-December 2011 with 1,243mm of rain against a long term mean of 915mm. This hampered transportation of cane from the fields.



The company processed 803,345 tonnes of cane in the first half of the year and 1,113,995 tonnes in the second half.

Sugarcane crushed in the year was 1,917,340 tonnes. This was 14.6% lower than the 2,245,281 tonnes crushed in the previous year. Sugar produced was 172,614 tonnes, 27% lower than the 235,812 tonnes produced in the previous year. The company sold 172,159 tonnes which is 27% lower than the 236,182 tonnes sold in the previous year.

The cogeneration plant registered a 23% rise in revenue to Kshs 435 million in the year. This was mainly due to improved performance during the second half of the year.

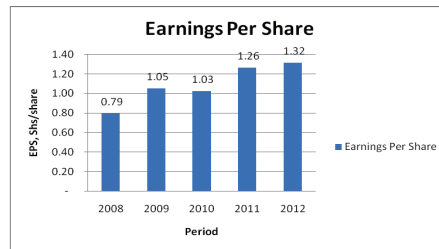
The company commenced distillation of ethanol in June 2012 and was able to record shs 1.5 million in sales during the year.

The water bottling plant was commissioned in May 2012. The product has been well received in the market.

RESULTS

Turnover was Shs 18.7 billion which is marginally lower than the Shs 18.8 billion last year.

Net revenue was Kshs 15.5 billion which is 2% lower than the sales recorded during the previous year. Profit



after taxation of Kshs 2,013 million is 4% higher than the Kshs 1,933 million realized during the previous year.

Profit before taxation for the year was Kshs 1,764 million compared to Kshs 2,647 million realized during the previous year. Earnings per share (EPS) for the year is Kshs 1.32 against Kshs 1.26 for the previous year.

DIVIDENDS

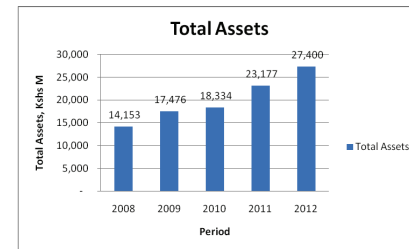
The Directors recommend a first and final dividend of Kshs 0.50 per share totalling Kshs 765 million in respect of the year.

AUDITORS

The accounts were audited by Deloitte & Touché and received an unqualified opinion.

OUTLOOK

Due to increased supply, world sugar prices have been on the decline and are in the region of USD 600-650 per tonne which is likely to result in lower prices in the domestic market. The company has embarked on farmer loyalty programmes such as the farmer entrepreneurship programme which is geared towards making the farmer more self reliant and diversify income streams. The company is also rolling out new



cane varieties that mature early and have better yields. Factory operations will be improved for better performance.

The ethanol distillery plant began operations in June 2012 when 100,000 litres was produced. The installed capacity is 22 million litres per annum. The plant is designed to produce potable and fuel ethanol. The water plant began operations in May 2012 with an installed capacity of 15 million litres per annum. The benefits from the sale of ethanol and water are expected to start being realized in the coming year.

The Board of Directors is rolling out its Strategic Plan for the period 2012-2017 for sustained growth and profitability. The Board is cautiously optimistic that the full year results for the coming year will be an improvement from the year that just ended.

BY ORDER OF THE BOARD

Emily K. Otieno
Company Secretary